



KEURIG AND WRAP-UP

Keurig since the case

GMCR's rise & transformation

2

- acquisitions
 - ▣ Keurig (2006)
 - ▣ Van Houtte (2010)
 - ▣ Diedrich (2009)
- 2010: GMCR sold 2.9 billion Keurig-cups (75% CAGR)
- May 2013: GMCR Q2 profits up 42%
- March 2014: changed name to Keurig Green Mountain



KEURIG
GREEN MOUNTAIN

Partnerships to secure dominance

3



Keurig Today

4

- According to the National Coffee Association (2016):
 - ▣ 28% penetration of US households (42% as of 2021)
 - ▣ 32.09% of US sales of ground & whole bean coffee
- 2020 net sales \$4.43 billion → \$3.6 bill from pods
 - ▣ 23% of coffee-pod business
- Challenges
 - ▣ Company predominantly selling k-cups now

Challenges

Diversification

5

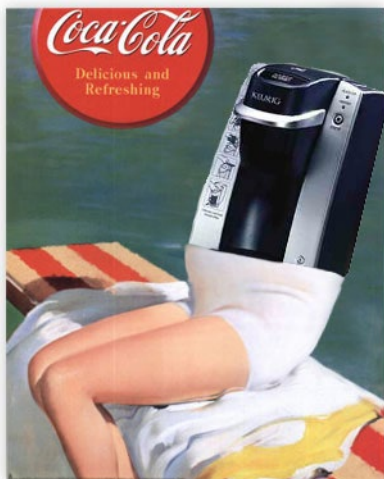
Maker of Coffee Pods Adds New Flavor: Soup
Green Mountain, Campbell to Introduce Packets for Broth

WSJ, 9-4-2013



Coca-Cola takes on Soda Stream in home soda machine war

LA Times, 2-6-2014



How Coke's new Keurig machine stacks up to Sodastream:

<http://finance.yahoo.com/news/here-s-what-the-new-coke-keurig-soda-machine-will-cost-you-225303377.html>

Coke Closes On \$1.25 Billion Green Mountain Stake [10% stake]

Vending Times, 3-3-2014

Coke Plans to Increase Keurig Stake to 16% [another \$billion]

WSJ, 5-14-2014

Challenges Diversification

bad launch, just 6 months
and it is canned.

6



Challenges

Diversification

6



"The Keurig Kold: You could just buy a mini-fridge instead"

Kris Naudus, *engadget*, 11-07-2015

Challenges

Diversification (growth desperation?)

7

Keurig's New Drinkworks Home Bar Is Perfect for the G&T Lover Who Can't Be Bothered to Mix Gin With Tonic

Rachelle Hampton, *Slate.com*, Nov 15 2018



Released broadly in Jan 2020 for \$299

- Pods: \$2.50-\$3.50 each
- Mixes liquid in pod with water
- 26 mins to chill water

For the low price of \$299, you can make exotic drinks like a Gin and Tonic or a Vodka Soda at home!

Challenges

Diversification (growth desperation?)

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JAB Acquisition

9

“Keurig to Go Private in \$13.9 Billion Buyout Led by JAB”

By Jennifer Kaplan, *Bloomberg*, 12-7-2015

- JAB: German holding company in foods including coffee:

JAB Holding Company's food and beverage empire

The secretive German investment portfolio is becoming a quiet giant

FOOD



JUICE & SODA



COFFEE & TEA



- Jacobs Douwe Egberts (largest pure-play CPG coffee)
- Pete's Coffee
- Caribou Coffee
- Espresso House (largest chain in Scandinavia)
- Baresso Coffee (largest chain in Denmark)

Keurig Acquires Dr. Pepper-Snapple

9

“Keurig to Acquire Dr Pepper Snapple in Largest Soft-Drink Deal Ever”

- ▣ \$19 billion deal



WSJ, 1-29-2018

Keurig Acquires Dr. Pepper-Snapple

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WSJ, 1-29-2018

“Keurig coffee systems gain 3 million new users”

FoodBusinessNews, 3-1-2021

- ▣ Installed base grew from 21 mill to 33 mill since merger!
- ▣ Record number of upgrades

Challenges: *Marketing For Good?*

Patent Expiration in 2012

10

“Consumer Storm Brewing Over Keurig 2.0”

The Ledger, 5-1- 2015

- ▣ Message if insert reusable coffee pod in Keurig 2.0:

“Oops! This pack wasn't designed for this brewer. Please try one of the hundreds of packs with the Keurig logo.”

- ▣ Keurig's explanation:

Authentic K-cup so brewer would “know the optimal settings for the inserted Keurig pack, for a perfect beverage every time.”

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“Keurig K-Cup Class Action Settlement”

Top Class Actions, 1-14-2021

**\$31 million
settlement**

*Those who cannot remember the
past are condemned to repeat it.*



George
Santayana



Challenges: *Marketing For Good*

Corporate Social Responsibility

11

Sour Brew: How Keurig Cofounder Came to Hate His Invention, The K-Cup

Daily Tech, 3-5-2015

- What do you do with all the discarded K-cups?
- According to **Vice**:
 - “Keurig brewer generates 10 times the solid waste ... from a standard drip brewer.”
 - “In 2014, ...there were enough discarded K-Cups to circle the earth 10.5 times.”

[vice.com](http://www.vice.com), 2-13-2016



Challenges: *Marketing For Good*

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[vice.com](http://www.vice.com), 2-13-2016



Keurig Class Action Settled For \$10M, Ending Recyclability Claims

TopClassActions.com, 3-3-2022

(Smith v. Keurig Green Mountain Inc., Case No. 4:18-cv-06690, in the U.S. District Court for the Northern District of California.)

- Also requires disclaimer that pods are not recyclable
 1. On labels
 2. On website

Challenges: *Marketing For Good*

Corporate Social Responsibility

12

Keurig introduces sustainable, plastic-free pods

Mar 25, 2024 Updated Mar 25, 2024 0



KEURIG DR PEPPER has reimagined the single-serve brewing process with sustainable, plastic-free pods. (Courtesy of Keurig Dr Pepper)

"expertly roasted coffee beans that are ground, pressed and wrapped in a proprietary, protective plant-based coating preserving the coffee's flavor and aroma, eliminating the need for plastic or aluminum."

Course Wrap-up



Peer Evaluation

14

- Each of you will receive an individual e-mail from TA
 - ▣ Group number
 - ▣ Password
 - ▣ Link to online peer eval survey

Final Project

15

- Available on Canvas:

After class today

- Based on lecture/HW material
- Due online no later than

AXP: 11:59pm (Central Time) Sunday, July 7, 2024

EXP: 11:59pm (Central Time) Sunday, July 21, 2024

XP: 11:59pm (Central Time) Sunday, July 28, 2024

- Electronic submission (see assignment for instructions)

Pricing Summary

16

- ***Customers don't purchase based price, but on value in exchange for price***
- Optimal pricing balances **value**, **costs** and **competition**
- Need the **right data** and systems in place
 - ▣ Demand measurement is often an obstacle
 - ▣ Only use relevant (incremental) costs for pricing
- Managing pricing for a product line requires **coordination**
 - ▣ **Substitutes:** manage cannibalization (“trading down”)
 - ▣ **Complements:** loss-leading as an investment
- Unprofitable discounts today can be investments in **CLV**

See Course Summary Appendix at end of deck

Good luck!!!!

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- With Finals ...
- With applying pricing tools in your new jobs

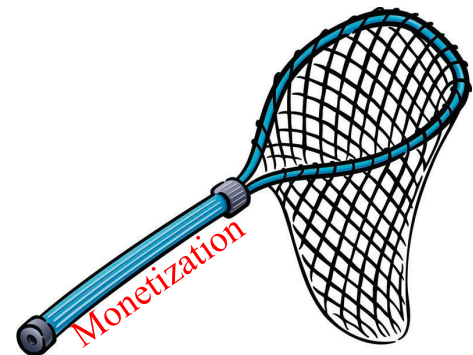




Appendix: Course Summary

Heuristic pricing leaves money on the table

19



Monetization Framework I

Optimization

20

$$P^* = \operatorname{argmax}_P \{(P - c)Q(P) - F\}$$

(Modules 1-5)

Comments

❖ Determine your **objective** and optimize it

e.g.,

- Profit objective - measurements of demand & marginal cost
- NPV of profits objective -- also trial & repeat demand

(Module 9)

Monetization Framework I

Optimization

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$$P^* = \underset{P}{\operatorname{argmax}} \{ \underbrace{(P - c)}_{\text{Costs}} \underbrace{Q(P)}_{\text{Value}} - F \}$$

(Modules 1-5)

Costs

Incremental/marginal costs

Value

Demand & WTP

Competition

Demand & Reference Product

Comments

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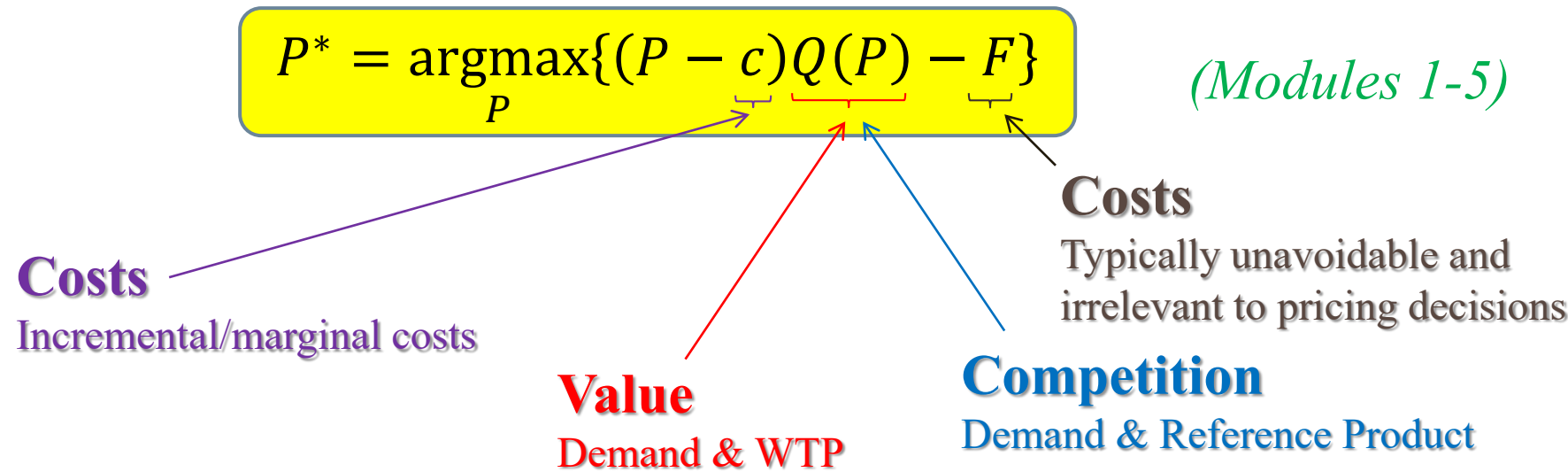
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Monetization Framework I

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Monetization Framework I

Optimization Toolkit

21

□ Demand measurement

- Qualitative (e.g., focus groups, customer journey maps)
- EVC
- Randomized Price Experiments
- Regression
- Conjoint Analysis
- LTV analysis

(not covered)

(module 1)

(module 2)

(extra slides)

(module 9)

□ Costing

- Marginal cost & contribution (not fixed/average cost & gross)

(module 4)

□ Competition

- Anticipate potential competitive reactions
- Strategic thinking (game theory)

(module 5)

Monetization Framework II

Pricing Structures

22



Comments

- ❖ Use **microeconomics** to design pricing structures that capture customer value (Price Discriminate)

Examples:

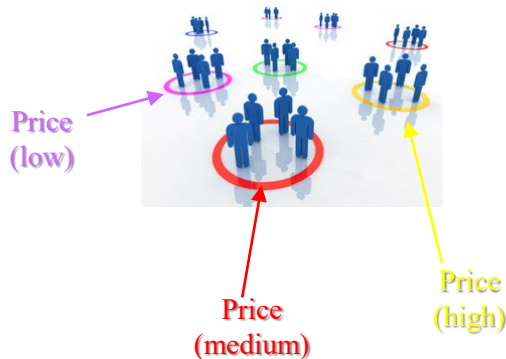
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(modules 6-8)

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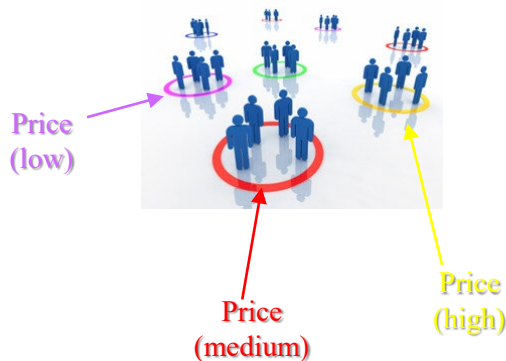
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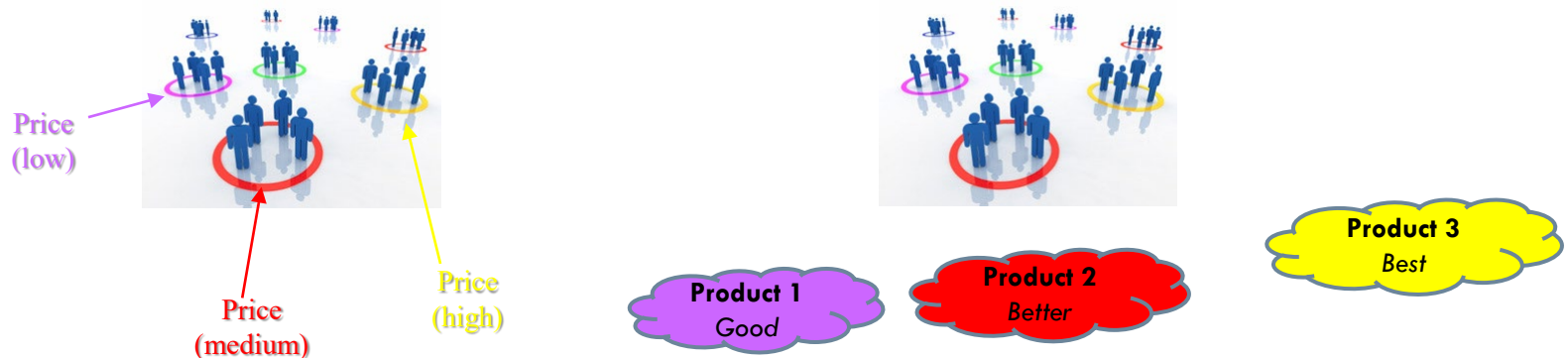
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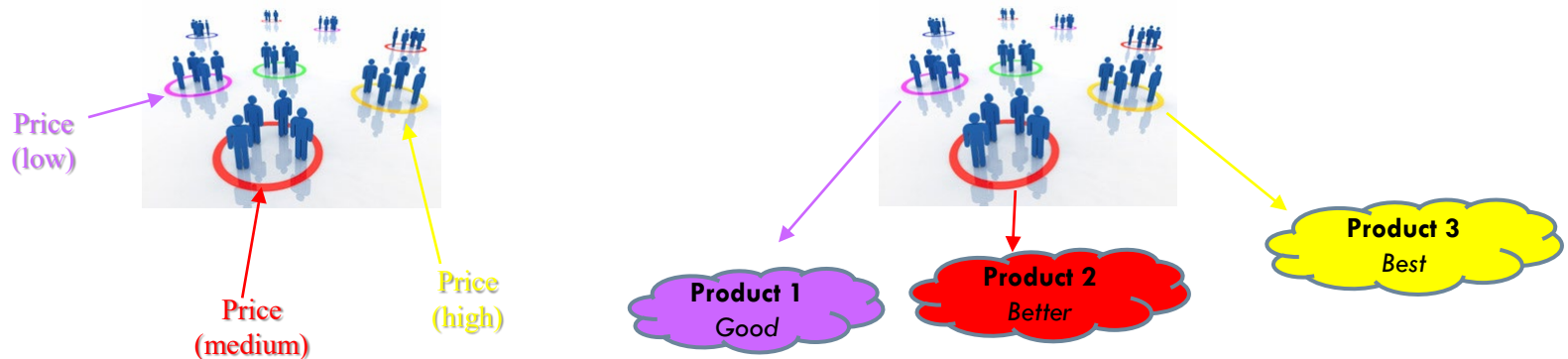
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(modules 6-8)

Monetization Framework II

Pricing Structure Toolkit

23

- Sustainability of the fences
 - ▣ **Perceptions of fairness**
 - ▣ **Preventing Arbitrage**
 - ▣ **Managing Cannibalization**

(modules 6-8)

Price Management

24

□ Coordination of 4 Ps

- Price and perceived Product value
- Promoting a Price premium (you need to *market* the price)
- Product Line Prices
- Price and Place (downstream firm in channel) *(extra slides)*

□ Coordination within the firm

- Contribution margins vs Gross Margins (**finance & Pricing**)
- Product Line Prices across brand management teams (**HR and incentives**)